Practice workbook · Technology in accounting: benefits, drawbacks and decisions

Benefits of accounting software and spreadsheets, set against cost, training and data risks when a trader is deciding whether to computerise or outsource.

11 question parts: 1 worked-example retry and 10 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ACC-ENV-05

1. Question 17 · part c · 5 marks

2025 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part c only.

17 (a) Explain how the preparation of a trade receivables control account can help to prevent fraud.

(2)

Rio sells goods on credit to Paulo. He also purchases goods from Paulo on credit.

The two businesses have an agreement that they will always settle their accounts on the last day of each month.

During the month of March 2025, the following transactions took place between them.

March	Transaction
2	Rio sold goods on credit to Paulo, $580
18	Rio purchased goods on credit from Paulo, $690
21	Rio returned goods to Paulo, $80
28	Paulo returned goods to Rio, $110
31	Rio set off the balance on the two accounts and a payment was made to settle the remaining balance.

(b) Prepare, for the month ended 31 March 2025, in the books of Rio, the account of Paulo in **both** the receivables ledger and the payables ledger.

(8)

Receivables Ledger Paulo Account

Date	Details	$	Date	Details	$

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1. Question 17 · part c · 5 marks

2025 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part c only.

Payables Ledger Paulo Account

Date	Details	$	Date	Details	$

(c) Advise Rio whether he should start using spreadsheets to manage his receivables and payables.

(5)

(Total for Question 17 = 15 marks)

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1. Question 17 · part c · 5 marks · Working and answer

Working and answer

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2. Question 17 · part c · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part c only.

17 (a) Prepare the trial balance from the list of balances.

(8)

Trial balance at 31 March 2020

Account	Balance $	Trial balance	
		Debit $	Credit $
Bank loan	2 000		
Bank overdraft	160		
Carriage outwards	650		
Discount received	190		
Drawings	5 130		
Equity	19 500		
Fixtures and fittings – cost – provision for depreciation	 24 400 6 350		
General expenses	16 870		
Inventory at 1 April 2019	18 750		
Provision for irrecoverable debts	300		
Purchases	42 630		
Returns inwards	2 580		
Revenue	88 320		
Trade payables ledger control account	5 230		
Trade receivables ledger control account	11 040		
Total			

(b) State **each** type of error.

(2)

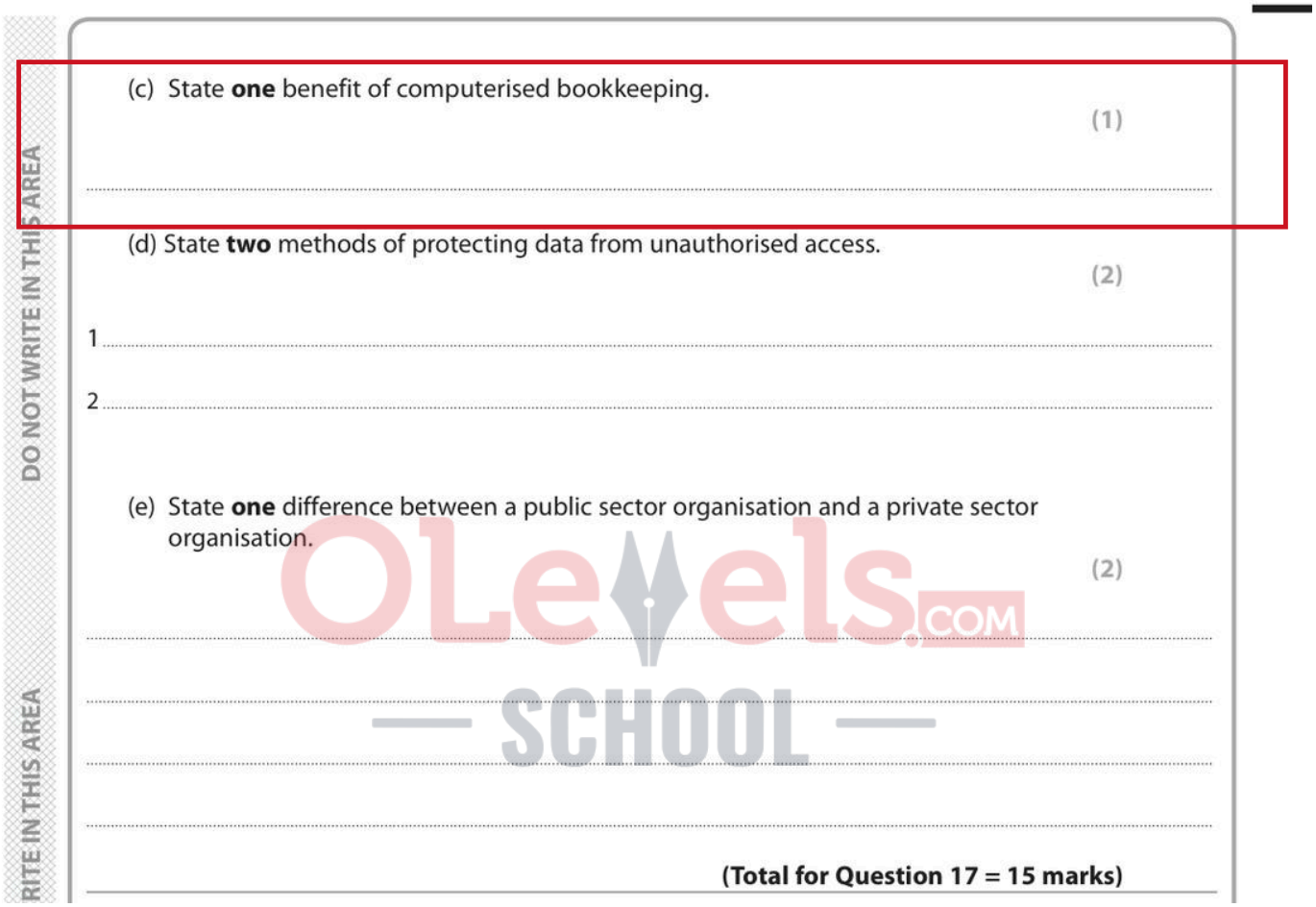
Error	Type of error
Purchase of a motor vehicle had been entered in the motor expenses account.	
Wages paid had been posted to the general expenses account.	

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2. Question 17 · part c · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part c only.



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(c) State **one** benefit of computerised bookkeeping.

(1)

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(d) State **two** methods of protecting data from unauthorised access.

(2)

1 .....

2 .....

(e) State **one** difference between a public sector organisation and a private sector organisation.

(2)

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(Total for Question 17 = 15 marks)

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Working and answer

3. Question 18 · part a · 2 marks

2020 NOV · Paper 01

Further practice · Attempt part a only.

18 (a) State **two** benefits of using technology in accounting.

(2)

1 .....

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2 .....

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(b) Complete the table, indicating with a tick (✓) how **each** item would be classified when purchasing hardware.

(3)

Item	Capital expenditure	Revenue expenditure
Installation cost		
Delivery cost		
Consumables		

A trader received a bank statement on 31 March 2020 showing a credit balance of $791. On the same date the cash book showed a debit balance of $1210.

The following had not been entered in the cash book:

- a standing order for insurance, $345
- bank interest received, $15
- a dishonoured cheque from Jones, $265

(c) Update the cash book showing the adjusted balance at 31 March 2020.

(4)

Cash book – bank column

Date	Details	$	Date	Details	$

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3. Question 18 · part a · 2 marks · Working and answer

Working and answer

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4. Question 15 · part d.i · 2 marks

2023 JUN · Paper 01

Further practice · Attempt part d.i only.

15 (a) State **two** reasons for offering a trade discount.

(2)

1 .....

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2 .....

.....

(b) State **two** reasons why a credit customer's account may have a credit balance.

(2)

1 .....

.....

2 .....

.....

Kirk maintains a full set of accounting books and offers credit customers a 5% trade discount on orders over $1 000

During January 2023 the following transactions took place between Kirk and Bella.

January 2023	Transaction
2	Cheque received, $3 500, in full settlement of the account balance on 1 January 2023 of $3 720
9	Sold goods, list price $880
17	Returned goods sold on 9 January 2023, $170
28	Sold goods, list price $1 300

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4. Question 15 · part d.i · 2 marks

2023 JUN · Paper 01

Further practice · Attempt part d.i only.

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(c) Prepare the account of Bella for the month of January 2023. Balance the account on 31 January 2023 and bring the balance down on 1 February 2023.

(7)

Bella Account

Date 2023	Details	$	Date 2023	Details	$

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(d) (i) State **two** benefits of using accounting software.

(2)

1 .....

2 .....

(ii) State **two** methods of protecting data when using accounting software.

(2)

1 .....

2 .....

(Total for Question 15 = 15 marks)

4. Question 15 · part d.i · 2 marks · Working and answer

Working and answer

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5. Question 13 · part b · 2 marks

2024 NOV · Paper 01

Further practice · Attempt part b only.

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13 (a) State **two** stakeholders that may be interested in the financial statements of a business.

(2)

1 .....

2 .....

(b) State **two** benefits to a business of using a computerised accounting package.

(2)

1 .....

2 .....

(c) State **one** characteristic of a public sector organisation.

(1)

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(Total for Question 13 = 5 marks)

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Working and answer

6. Question 17 · part c · 5 marks

2019 JUN · Paper 01

Further practice · Attempt part c only.

17 (a) State **two** purposes of a suspense account.

(2)

1 .....

2 .....

(b) Complete the following table for each scenario.

(6)

Scenario	Type of error	Account to be debited	Account to be credited
A payment received from Jon, $200, was entered in Ron's account			
A cheque, $376, for wages was entered in the cashbook and the wages account as $367			

(c) Evaluate how the introduction of accounting software will improve the accuracy of a business's accounts.

(5)

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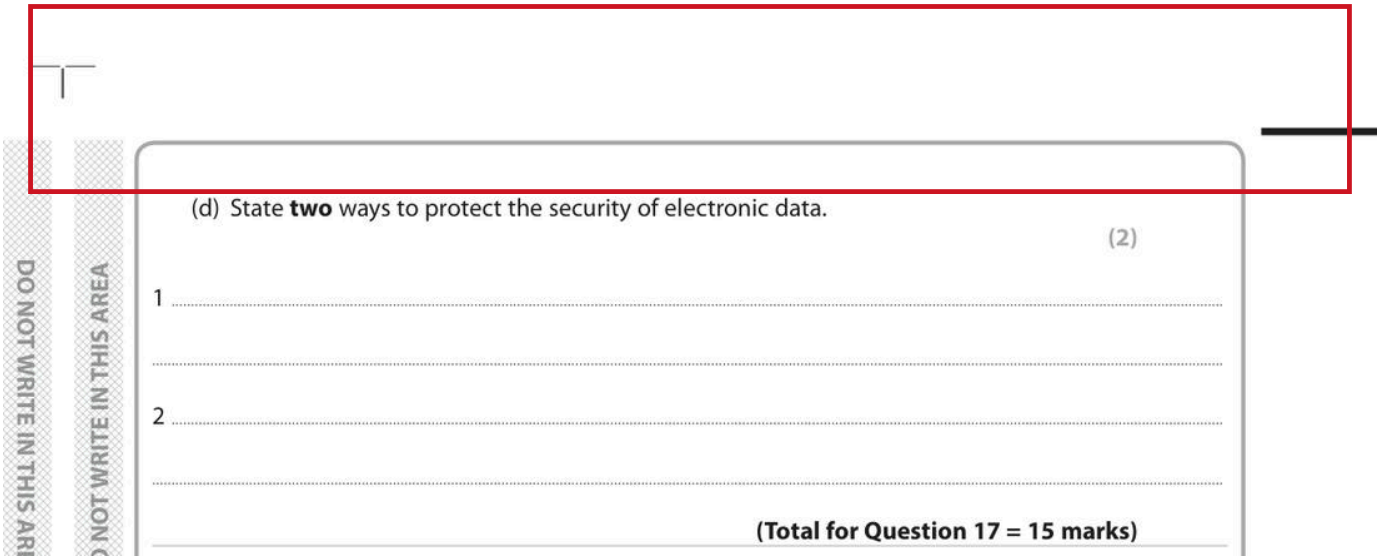
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6. Question 17 · part c · 5 marks

2019 JUN · Paper 01

Further practice · Attempt part c only.



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(d) State **two** ways to protect the security of electronic data.

(2)

1 .....

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2 .....

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(Total for Question 17 = 15 marks)

Working and answer

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7. Question 18 · part c · 5 marks

2020 JAN · Paper 01

Further practice · Attempt part c only.

18 Nyat provided the following information at 1 January 2019

Account	$
Motor vehicles at cost	48 000
Motor vehicles provision for depreciation	16 000

On 30 September 2019 Nyat sold a motor vehicle for $13 250 and received a cheque in full settlement. This motor vehicle had been purchased on 1 July 2018 for $16 400

Nyat's policy is to depreciate motor vehicles at 25% per annum using the reducing balance method. A full year's depreciation is charged in the year of purchase but none in the year of sale.

(a) Prepare the provision for depreciation – motor vehicles account for the year ended 31 December 2019 showing the transfer to the income statement. Balance the account at this date and bring the balance down at 1 January 2020.

(5)

Provision for Depreciation – Motor Vehicles Account

Date	Details	$	Date	Details	$

(b) Prepare the disposal account showing the transfer to the income statement.

(5)

Disposal Account

Date	Details	$	Date	Details	$

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7. Question 18 · part c · 5 marks

2020 JAN · Paper 01

Further practice · Attempt part c only.

Nyat is considering purchasing a computerised accounting package.

(c) Evaluate the benefits of this proposal.

(5)

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(Total for Question 18 = 15 marks)

7. Question 18 · part c · 5 marks · Working and answer

Working and answer

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8. Question 18 · part c · 5 marks

2022 JUN · Paper 01

Further practice · Attempt part c only.

18 Lucas provided the following information for the month ended 31 March 2022.

	$
Trade receivables ledger balances at 1 March 2022	48 220
Trade receivables ledger balances at 31 March 2022	47 830
Cash sales	8 300
Contra/set off to trade payables ledger	270
Credit customer's cheque dishonoured	360
Credit sales	41 480
Discount allowed	410
Discount received	120
Irrecoverable debts	1 930
Receipts from credit customers	38 590
Returns inwards	1 030
Returns outwards	1 950

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8. Question 18 · part c · 5 marks

2022 JUN · Paper 01

Further practice · Attempt part c only.

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(a) Prepare the trade receivables ledger control account for the month ended 31 March 2022. Balance the account on this date and bring the balance down on 1 April 2022.

(8)

Trade Receivables Ledger Control Account

Date 2022	Details	$	Date 2022	Details	$

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(b) State **two** reasons why a customer's cheque may be dishonoured by the bank.

(2)

1 .....

2 .....

8. Question 18 · part c · 5 marks

2022 JUN · Paper 01

Further practice · Attempt part c only.

Lucas is proposing to change from a manual system to a computerised system of bookkeeping.

(c) Evaluate whether Lucas should proceed with this proposal.

(5)

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(Total for Question 18 = 15 marks)

8. Question 18 · part c · 5 marks · Working and answer

Working and answer

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9. Question 14 · part c · 5 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

14 Mitch maintains a full set of accounting records. During the last week of March 2023, the following transactions took place.

March 2023	Transaction
25	Sold goods on credit to Jay, $570
29	Goods returned by Jay, $85
30	Sold goods on credit to Mateta, $316
31	Sold goods for cash, $50

(a) Complete the following books of original entry for the month of March 2023.

(5)

Sales Day Book

March 2023	Customer	$
24	Total to date	3 194

Sales Returns Day Book

March 2023	Customer	$
24	Total to date	28

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9. Question 14 · part c · 5 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

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On 1 March 2023 the balance of the sales account was $71 730

(b) Prepare the sales account for the year ended 31 March 2023 showing the transfer to the income statement.

(5)

Sales Account

Date	Details	$	Date	Details	$

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9. Question 14 · part c · 5 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

Mitch is considering introducing computerised accounting software.

(c) Evaluate whether he should proceed with this proposal.
You **must** include **both** advantages and disadvantages of the proposal.

(5)

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(Total for Question 14 = 15 marks)

9. Question 14 · part c · 5 marks · Working and answer

Working and answer

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10. Question 2 · part c · 5 marks

2023 NOV · Paper 02

Further practice · Attempt part c only.

2 Ed, a sole trader, provided the following information.

Balance at 1 May 2022	**$**
Fixtures and fittings – cost – provision for depreciation	 123 500 55 575
Bank	1 680
Inventory	25 500
Other payables	1 400
Trade receivables	76 000
Trade payables	25 100

(a) Calculate the equity at 1 May 2022. **(3)**

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10. Question 2 · part c · 5 marks

2023 NOV · Paper 02

Further practice · Attempt part c only.

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Balance at 30 April 2023	$
Fixtures and fittings – cost – provision for depreciation	 275 000 96 825
Bank	2 650 Cr
Bank loan (2030)	75 000
Inventory	17 600
Other payables	1 900
Trade receivables	86 500
Trade payables	18 540

During the year ended 30 April 2023 Ed took cash of $6 090 for his own use.

Profit for the year ended 30 April 2023 was $45 670 before:

- writing off an irrecoverable debt of $1 000
- creating a provision for irrecoverable debts of 2% of trade receivables.

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10. Question 2 · part c · 5 marks

2023 NOV · Paper 02

Further practice · Attempt part c only.

(b) Prepare the statement of financial position at 30 April 2023.

(17)

Ed
Statement of Financial Position at 30 April 2023

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10. Question 2 · part c · 5 marks

2023 NOV · Paper 02

Further practice · Attempt part c only.

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10. Question 2 · part c · 5 marks

2023 NOV · Paper 02

Further practice · Attempt part c only.

Ed is considering investing in a computerised accounting package.

(c) Evaluate the **disadvantages** of this proposal.

(5)

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(Total for Question 2 = 25 marks)

10. Question 2 · part c · 5 marks · Working and answer

Working and answer

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11. Question 1 · part b · 5 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

1 Tang, a sole trader, provided the following balances at 31 December 2023.

Account	$
Business rates	1 430
Carriage inwards	800
Carriage outwards	1 300
Fixtures and fittings – cost	10 000
Fixtures and fittings – provision for depreciation	2 000
General expenses	5 800
Insurance	3 600
Irrecoverable debts	650
Motor expenses	22 890
Motor vehicles – cost	35 000
Motor vehicles – provision for depreciation	5 000
Opening inventory	8 700
Premises – cost	85 000
Purchases	89 000
Returns outwards	4 256
Revenue	150 000

Additional information

- Closing inventory was valued at $9 345
- On 31 December 2023 business rates, $570, were owing and insurance, $600, was paid in advance.
- During the year Tang took goods costing $3 290 for his personal use.
- The purchase of a new motor vehicle, $15 000, has been included in the motor expenses account.
- Depreciation on non-current assets is to be provided for as follows:
  - fixtures and fittings, 10% per annum, using the straight line method
  - motor vehicles, 25% per annum, using the reducing balance method.
- A full year's depreciation is charged on assets held at the year end.

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11. Question 1 · part b · 5 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

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(a) Prepare the income statement for the year ended 31 December 2023.

(20)

Tang

Income statement for the year ended 31 December 2023

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11. Question 1 · part b · 5 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

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11. Question 1 · part b · 5 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

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Tang is considering two options to improve his financial record keeping.

Option 1: employ a part-time bookkeeper.

Option 2: purchase an accounting software package.

(b) Discuss **both** options and advise Tang which option he should choose.

(5)

Option 1

Option 2

Advice

(Total for Question 1 = 25 marks)

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11. Question 1 · part b · 5 marks · Working and answer

Working and answer

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